

AS

ECONOMICS

7135/2

Paper 2 – The National Economy in a Global Context

Practice Paper 3 (Hard)

Practice question paper (in the style of June 2024)

Time allowed:	1 hour 30 minutes
Total marks:	70
Materials:	A calculator is required.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Answer **all** questions in **Section A**.
- Answer **either** Context 1 **or** Context 2 in **Section B**.
- Show your working clearly for calculation questions.
- You must answer in the spaces provided.

Information

- The maximum mark for this paper is 70.
- The marks for questions are shown in brackets.
- No deductions will be made for wrong answers in Section A.

Section A

Answer **all** questions in this section. Only one answer per question is allowed.

0 1 An economy experiences simultaneously rising inflation and rising unemployment. This phenomenon is best described as

- A** disinflation.
- B** deflation.
- C** stagflation.
- D** hyperinflation.

[1 mark]

0 2 If the marginal propensity to consume out of disposable income is 0.7, the marginal tax rate is 0.25 and the marginal propensity to import is 0.15, the value of the multiplier is approximately

- A** 1.45
- B** 1.74
- C** 2.50
- D** 3.33

[1 mark]

0 3 Country Z has a budget deficit equal to 5% of GDP and a nominal GDP growth rate of 3%. If GDP is constant in real terms, the debt-to-GDP ratio will most likely

- A** rise unless the deficit falls below 3% of GDP.
- B** fall as nominal GDP grows.
- C** remain constant.
- D** fall as long as inflation is positive.

[1 mark]

0 4 An economy is initially in long-run macroeconomic equilibrium at full employment output. Aggregate demand then shifts rightward and the economy moves to a short-run equilibrium with higher output and a higher price level. In the long run, with no further shifts in AD, the economy is most likely to move to

- A** a new equilibrium with output permanently above the original full-employment level.
- B** a new equilibrium with the same output as initially, but a higher price level (SRAS shifts leftward).
- C** back to the original equilibrium with the same output and the same price level.
- D** an equilibrium with lower output and a lower price level than initially.

[1 mark]

0 5 Which one of the following is the most likely consequence of monetary policy operating with long and variable time lags?

- A** Central banks should target current rather than future inflation.
- B** Central banks may need to act pre-emptively before inflation becomes evident.

- C** Monetary policy is more effective than fiscal policy.
- D** Quantitative easing is the most appropriate tool.

[1 mark]

0 6 A country's exports have a price elasticity of demand of -1.5 and its imports have a price elasticity of demand of -0.3. According to the Marshall-Lerner condition, a depreciation will

- A** worsen the current account because the sum of elasticities is less than 1 in absolute terms.
- B** improve the current account because the sum of elasticities exceeds 1 in absolute terms.
- C** have no effect on the current account.
- D** improve the current account only in the short run.

[1 mark]

0 7 An economy has nominal GDP of £2,200 billion, real GDP of £2,000 billion (base year prices) and a population of 70 million. Real GDP per capita is approximately

- A** £28,571
- B** £31,429
- C** £30,000
- D** £110,000

[1 mark]

0 8 Which of the following best describes the concept of 'natural rate of unemployment'?

- A** The rate of unemployment achievable only through expansionary fiscal policy
- B** The rate of unemployment associated with full employment of available labour, excluding cyclical unemployment
- C** The lowest possible rate of unemployment in any economy
- D** The rate of unemployment caused by changes in aggregate demand

[1 mark]

0 9 If a central bank conducts quantitative tightening (QT) by selling assets from its balance sheet, the most likely effects include

- A** a rise in commercial banks' reserves and lower interest rates.
- B** a fall in commercial banks' reserves and upward pressure on long-term yields.
- C** an immediate fall in CPI inflation.
- D** an expansion of the money supply.

[1 mark]

1 0 The 'expectations-augmented Phillips Curve' suggests that

- A** there is a stable long-run trade-off between inflation and unemployment.
- B** in the long run, the trade-off between inflation and unemployment disappears as expectations adjust.
- C** inflation is determined solely by aggregate demand.
- D** monetary policy is ineffective in the short run.

[1 mark]

1 1 Which of the following is most likely to cause a sustained rightward shift of the LRAS curve in an open economy?

- A A temporary increase in consumer confidence
- B An expansionary fiscal stimulus financed by borrowing
- C Successful structural reforms that raise labour force participation and capital deepening
- D An appreciation of the exchange rate

[1 mark]

1 2 If the UK government raises corporation tax from 19% to 25% and total taxable corporate profits are £500 billion, the static increase in revenue (ignoring behavioural effects) is

- A £30 billion
- B £25 billion
- C £125 billion
- D £95 billion

[1 mark]

1 3 A country has a current account deficit of 5% of GDP, a fiscal deficit of 3% of GDP and a private sector net saving deficit of 2% of GDP. The sectoral balances framework implies that

- A the deficits are inconsistent and the data must be incorrect.
- B the current account deficit equals the sum of private and public sector deficits in saving.
- C fiscal tightening alone is sufficient to eliminate the current account deficit.
- D the country is in equilibrium.

[1 mark]

1 4 Which one of the following best illustrates the difference between economic growth and economic development?

- A Growth measures changes in living standards; development measures changes in real GDP
- B Growth refers to increases in productive capacity; development additionally encompasses health, education and inequality
- C Growth and development are synonymous
- D Growth applies to high-income countries; development applies to low-income countries

[1 mark]

1 5 An economy faces a negative supply shock. The most appropriate combined policy response to minimise both inflation and recession risk is most likely to be

- A aggressive monetary tightening combined with fiscal expansion.
- B aggressive monetary loosening combined with fiscal contraction.
- C targeted supply-side measures alongside cautious demand management.
- D a sharp rise in tariffs and import controls.

[1 mark]

1 6 Hysteresis effects in the labour market imply that

- A** short-run cyclical shocks may permanently lower an economy's productive potential.
- B** all unemployment is voluntary.
- C** supply-side policies are ineffective.
- D** the natural rate of unemployment is constant over time.

[1 mark]

1 7 If a country's nominal interest rate is 5.5% and inflation is 3.0%, the approximate real interest rate is

- A** 8.5%
- B** 2.5%
- C** 1.83%
- D** -2.5%

[1 mark]

1 8 Which one of the following best describes Ricardian Equivalence?

- A** Tax cuts always increase aggregate demand in the long run
- B** Consumers, anticipating future tax rises to service deficit-financed spending, save the tax cut rather than spend it
- C** Government borrowing has no impact on interest rates
- D** Fiscal policy is always more effective than monetary policy

[1 mark]

1 9 An economy operating at full employment receives a positive demand shock. In the short run, the economy will most likely experience

- A** a positive output gap and rising demand-pull inflation, before adjusting back as SRAS shifts left.
- B** a permanent rise in output above the productive capacity of the economy.
- C** a fall in the price level due to capacity constraints.
- D** no change because LRAS is vertical.

[1 mark]

2 0 A central bank announces a credible commitment to a 2% inflation target. According to rational expectations theory, the cost of disinflation (in terms of lost output) will be

- A** higher than under adaptive expectations because wages adjust slowly.
- B** lower than under adaptive expectations because forward-looking wage and price-setting adjusts more quickly.
- C** unaffected by the credibility of the commitment.
- D** always zero in the short run.

[1 mark]

END OF SECTION A

Section B

Answer **either** Context 1 **or** Context 2. There is a total of 50 marks for either context.

EITHER

Context 1 – Total for this context: 50 marks

STAGFLATION RISKS AND POLICY DILEMMAS IN THE UK

Study the extracts below and then answer the questions which follow.

Extract A *Selected UK macroeconomic indicators, 2020-2024*

Table: UK CPI inflation, real GDP growth, unemployment rate, and Bank Rate

Year	CPI Inflation (%)	Real GDP Growth (%)	Unemployment Rate (%)	Bank Rate (% , year-end)
2020	0.9	-11.0	4.6	0.10
2021	2.6	7.6	4.5	0.25
2022	9.1	4.3	3.7	3.50
2023	7.3	0.1	4.0	5.25
2024	2.6	0.8	4.4	4.75

Extract B *Diagnosing UK stagflation*

The combination of high inflation and weak real GDP growth in 2022-2024 raised concerns that the UK had entered a period of mild stagflation. Standard demand-management policies face a dilemma in such conditions: tighter monetary policy reduces inflation but exacerbates the slowdown in output, whereas looser policy supports growth but risks entrenching inflation.

Multiple supply-side shocks contributed to the inflation surge. Energy prices spiked following the 2022 invasion of Ukraine; global supply chains were disrupted by the pandemic and geopolitical tensions; and Brexit-related changes increased frictions in UK-EU trade. At the same time, the UK economy faced longer-term structural weaknesses, including subdued business investment and persistent skills shortages.

The Bank of England raised Bank Rate from 0.1% to 5.25% in less than two years, the fastest tightening cycle since the early 1990s. Critics warned that the lagged effects of these rate increases could result in unnecessarily deep economic weakness, especially given high household debt-to-income ratios.

Extract C *Fiscal constraints and the policy mix*

UK public sector net debt rose from around 85% of GDP in early 2020 to over 100% of GDP by 2024, reflecting both pandemic-era spending and the more recent cost-of-living support packages. Debt interest payments alone amounted to over £100 billion in 2023, the largest single item of government spending after social security and the NHS.

With debt servicing costs high and sensitive to interest rate changes, the government's room for fiscal manoeuvre has narrowed. Some economists argue that this elevates the role of supply-side policy and rules-based monetary policy in stabilising the economy. Others fear that excessive reliance on the Bank of England to manage demand will result in prolonged periods of below-trend growth and higher structural unemployment - a risk known as hysteresis.

The interaction between expectations, credibility and policy effectiveness has become central. If economic agents believe the Bank of England's commitment to its 2% target, the cost of restoring price stability in terms of lost output may be considerably reduced.

2 1 Define 'stagflation' (Extract B, line 1).

[3 marks]

2 2 Using Extract A, calculate the percentage point change in CPI inflation between 2021 and 2022, and the percentage change in real GDP growth between 2021 and 2023.

Give your answers to one decimal place where appropriate.

[4 marks]

2 3 Use Extract A to identify two significant points of comparison between CPI inflation and Bank Rate over the period shown.

[4 marks]

2 4 Extract B (lines 4-5) refers to multiple supply-side shocks contributing to the inflation surge.

Draw an AD/AS diagram to show the most likely combined effect of a negative supply-side shock and a contractionary monetary policy response on the macroeconomy.

[4 marks]

2 5 Extract C (lines 11-13) refers to the role of expectations and credibility in determining the cost of restoring price stability.

Explain how the credibility of a central bank's inflation target may affect the cost of reducing inflation.

[10 marks]

2 6 Extract B (lines 1-2) states that demand-management policies face a dilemma in stagflation. Extract C (lines 4-5) suggests an elevated role for supply-side policy.

Use the extracts and your knowledge of economics to evaluate the most appropriate policy response to mild stagflation in an advanced economy.

OR

Context 2 – Total for this context: 50 marks

UK FISCAL SUSTAINABILITY AND LONG-RUN GROWTH

Study the extracts below and then answer the questions which follow.

Extract D *UK public finances and growth indicators, selected years*

Table: UK public sector net debt (% of GDP), budget balance (% of GDP), debt interest spending (£bn), and trend real GDP growth rate (annual average over preceding decade)

Year	Net Debt (% GDP)	Budget Balance (% GDP)	Debt Interest (£bn)	Trend Growth (%)
2000	30.5	1.4	25.6	2.7
2008	42.0	-5.0	32.1	2.5
2010	71.3	-9.3	43.5	2.1
2015	85.1	-4.1	45.8	1.5
2019	83.8	-2.4	48.6	1.4
2023	100.2	-4.4	106.3	1.0

Extract E *Long-run fiscal sustainability*

A government's fiscal position is sustainable if its debt-to-GDP ratio does not rise indefinitely. The key arithmetic is: if the average interest rate on government debt exceeds the nominal growth rate of GDP, the primary budget must move into surplus to stabilise the debt ratio.

For much of the 2010s, ultra-low interest rates allowed advanced economies to run sizeable deficits while debt-to-GDP ratios stabilised or even fell. The sharp rise in interest rates from 2022 onwards changed this calculus. UK debt interest spending more than doubled in cash terms between 2019 and 2023, partly because around a quarter of UK government debt is linked to inflation through index-linked gilts.

The Office for Budget Responsibility's long-term projections suggest that, on unchanged policy, demographic ageing will push UK public spending on healthcare and pensions higher by around 4-5 percentage points of GDP over coming decades, with significant implications for the debt trajectory.

Extract F *Growth, productivity and supply-side reform*

Sustainable improvement in the UK fiscal position ultimately depends on raising the long-run growth rate. Higher growth widens the tax base, reduces benefit dependency, and lowers the debt-to-GDP ratio for any given level of borrowing.

The UK's productivity growth has been particularly weak since the 2008 financial crisis. Total factor productivity (TFP) growth - which captures the efficiency with which labour and capital are combined - has averaged less than 0.5% per year, compared with around 1.5% in the pre-crisis period. Reasons cited include underinvestment in physical and intangible capital, weak diffusion of best practice from leading firms to laggards, and skills mismatches.

Supply-side policies to address these weaknesses include investment in education and training, infrastructure spending, R&D; tax credits, planning reform, and regulatory simplification. Critics argue that the UK's policy framework has lacked consistency and that short-term political cycles have undermined long-term commitments. There are also debates about whether macroeconomic stability, low corporate taxation, or active industrial policy is the most effective way to raise long-run productivity.

2 7 Define 'budget deficit' (Extract D).

[3 marks]

2 8 Use Extract D to calculate the percentage change in UK debt interest spending between 2019 and 2023.

Give your answer to one decimal place.

[4 marks]

2 9 Use Extract D to identify two significant points of comparison between UK public sector net debt (% of GDP) and trend real GDP growth over the period shown.

[4 marks]

3 0 Extract F (lines 5-6) refers to supply-side policies including investment in education and training.

Draw an AD/AS diagram to show the most likely long-run effect of successful supply-side reforms on the macroeconomy.

[4 marks]

3 1 Extract E (lines 1-3) refers to the arithmetic of fiscal sustainability, in which the interest rate on debt compared with the nominal growth rate of GDP is critical.

Explain why a sustained rise in long-term interest rates may threaten the sustainability of government debt.

[10 marks]

3 2 Extract F (line 1) states that sustainable improvement in the UK fiscal position depends on raising the long-run growth rate.

Use the extracts and your knowledge of economics to evaluate the view that supply-side policies are the only effective way to ensure long-run fiscal sustainability in the UK.

[25 marks]

END OF QUESTIONS